
19. The making of international environmental law

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1. INTRODUCTION: THE ORIGINALITY OF INTERNATIONAL ENVIRONMENTAL LAW

The transboundary character of many natural resources, the continuous changes in the environment, together with the constant evolution of scientific findings are among the elements that deeply influence international environmental law.

While traditionally the development of international environmental law is associated with Multilateral Environmental Agreements (MEAs), which since the 1990s have greatly contributed to shaping the fundamental principles of this field, nowadays a more complex picture should be designed, which includes treaties and institutions pertaining to other legal areas of international law that are relevant to environmental matters.¹

Contemporary environmental matters indeed are increasingly linked with economic development and human rights issues.² These linkages are at the heart of the notion of sustainable development.³ In this polyhedric dimension, multiple branches of international law are directly and indirectly relevant to address the complexities of today's most pressing environmental and sustainable development challenges. As for the economic-related fields, trade in environmental goods and services is one of the 'bones of contention' under World Trade Organization (WTO) negotiations, while vice versa under the climate regime, competitiveness is the underlying reason behind the impasse in the design of a new climate treaty. Moreover, bilateral and multilateral investment treaties increasingly recognize the relevance of environmental protection within their

¹ E Brown Weiss, 'The Evolution of International Environmental Law' (2011) 54 *Japanese Yearbook of International Law* 1, 12; D Bodansky, *The Art and Craft of International Environmental Law* (Harvard University Press 2010), 10.

² The distribution of natural resources has important reflections on how States are divided when they negotiate international agreements: deep divisions existing between the North and the South of the world on biodiversity protection, between oil-exporting countries and low-lying States in climate change negotiations, and between coastal States and land-locked States with regard to access to marine resources and fisheries. Beyond the horizontal inter-State dimension, in a 'vertical' perspective, the environment provides means to ensure the livelihood of human beings and the enjoyment of their fundamental human rights, as the right to life, and the right to food and health. In this perspective, individuals and other non-state actors, such as non-governmental organizations (NGOs) and local communities, increasingly and actively participate in environmental matters at the international level.

³ This concept is generally defined as the 'development which meets the needs of the present without compromising the ability of future generations to meet their own needs.' Report of the World Commission on Environment and Development, *Our Common Future* (Brundtland Report) (OUP 1987), 46.

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scope.⁴ Also relevant is the legal framework governing the investments financed by International Financial Institutions (IFIs). Development banks touch upon environmental matters by setting conditionalities to their lending activities, particularly in developing countries. Moreover, IFIs' accountability mechanisms manage and settle environmental-related claims and 'provide data and precedents that can influence the evolution of [...] international environmental law'. As for the human right dimension, while environment-related cases are increasingly brought to human rights bodies, the independent expert of the UN Human Rights Council adopted several resolutions on environmental matters, such as climate change, the adverse effects of the movement and dumping of toxic and dangerous wastes.⁵

In such a context, the term 'law' encompasses a wide range of normative instruments, which include treaty provisions and decisions adopted by MEAs treaty bodies, judgments and awards by judicial and quasi-judicial bodies, and their influence on the formation of customary environmental principles. In parallel, 'lawmaking' describes the procedures through which these norms are created. Often these original and creative regulatory tools and processes do not meet the requirements and the definitions of traditional public international law, and have raised criticisms with regard to their legitimacy and effectiveness.

In this perspective, this chapter focuses first on distinctive features of MEAs' decision-making procedures that go beyond inter-State patterns. Secondly, it highlights how environmental matters are taken into account by international judiciaries, by trade and investment regimes and in non-state actors' rules, which – although not having a specific environmental mandate – influence the evolution of international environmental law. Finally, the concluding remarks suggest ways to improve the integration and synergies among these legal regimes.

2. LAWMAKING BY MULTILATERAL ENVIRONMENTAL AGREEMENTS

While discussions on the creation of a global environmental organization have been unable to reach concrete results, in the meanwhile, international environmental law developed mainly through multilateral conventions addressing one environmental problem at the time.

During the 1970s and 1980s, wetlands, endangered species of flora and fauna, atmospheric pollution and damage to the ozone layer have been individually addressed

⁴ D Bradlow, 'Private Complainants and International Organizations: A Comparative Study of the Independent Inspection Mechanisms in International Financial Institutions (2005) 36 *Georgetown Journal of International Law* 403, 410. D Freestone, 'The World Bank and Sustainable Development' in M Fitzmaurice and D Ong (eds), *Research Handbook on International Environmental Law* (Edward Elgar 2010), 164.

⁵ Report of the Human Rights Council (28th Session), Resolution 28/11, A/70/53 (9 September 2015).

by a treaty.⁶ The booming of MEAs started in the wake of the UN summit in Rio de Janeiro in 1992 with the adoption of treaties on biodiversity, climate change and desertification,⁷ and then continued for the next two decades with more technical and specific treaties.⁸ In the meantime, at the regional level, under the auspices of the UN Economic Commission for Europe, several conventions on public participation in environmental decision-making were adopted.⁹ This *ad hoc* approach to environmental matters results today in more than 200 treaties.

In the last decade, international environmental law has shifted from the adoption of new treaties to focus on the implementation and effectiveness of the existing ones. The establishment of compliance bodies under MEAs to monitor compliance with treaty commitments should be read in this perspective.

Dynamism and evolution characterize the mandate of MEAs, their decision-making procedures and eventually the legal nature of their institutions and of the acts they adopt. Although MEAs developed according to a range of different models, some similar characters can be identified in their institutional features as well as in their decision-making procedures.

⁶ Convention on Wetlands of International Importance Especially as Waterfowl Habitat (adopted 2 February 1971, entered into force 21 December 1975) 996 UNTS 246; Convention on International Trade in Endangered Species of Wild Fauna and Flora (adopted 3 March 1973, entered into force 1 July 1975) 993 UNTS 244 (CITES); Convention on Long-Range Transboundary Air Pollution (adopted 13 November 1979, entered into force 16 March 1983) 1302 UNTS 217; Convention on the Control of Transboundary Movements of Hazardous Wastes and their Disposal (adopted 22 March 1989, entered into force 5 May 1992) 1673 UNTS 57 (Basel Convention); Montreal Protocol on Substances that Deplete the Ozone Layer (adopted 16 September 1987, entered into force 1 January 1989) 1522 UNTS 3 (Montreal Protocol).

⁷ Convention on Biological Diversity (adopted 22 May 1992, entered into force 29 December 1993) 1769 UNTS 79 (Biodiversity Convention); UN Framework Convention on Climate Change (adopted 9 May 1992, entered into force 21 March 1994) 1771 UNTS 107 (UNFCCC); Convention to Combat Desertification in those Countries Experiencing Serious Drought and/or Desertification, particularly in Africa (adopted 14 October 1994, entered into force 26 December 1996) 1954 UNTS 3 (UNCCD).

⁸ Rotterdam Convention on Prior Informed Consent Procedure for Certain Hazardous Chemicals and Pesticides in International Trade (adopted 10 September 1998, entered into force 25 February 2004) 2244 UNTS 337 (PIC Convention); Cartagena Protocol on Biosafety to the Convention on Biological Diversity (adopted 29 January 2000, entered into force 11 September 2003) 2226 UNTS 208; Stockholm Convention on Persistent Organic Pollutants (adopted 22 May 2001, entered into force 17 May 2004) 2256 UNTS 119 (POP Convention); International Treaty on Plant and Genetic Resources for Food and Agriculture (adopted 3 November 2001, entered into force 29 June 2004) 2400 UNTS 303; Nagoya Protocol on Access to Genetic Resources and the Fair and Equitable Sharing of Benefits (adopted 29 October 2010, not yet in force) is a legally binding instrument regulating mercury.

⁹ Convention on Environmental Impact Assessment in a Transboundary Context (adopted 25 February 1991, entered into force 10 September 1997) 1989 UNTS 309 (Espoo Convention) and its Protocol on Strategic Environmental Assessment (adopted 21 May 2003, entered into force 11 July 2010) Doc ECE/MP.EIA/2003/2; Convention on Access to Information, Public Participation in Decision-making and Access to Justice in Environmental Matters (adopted 25 June 1998, entered into force 30 October 2001) 2161 UNTS 447 (Aarhus Convention).

2.1 The Normative and Institutional Architecture: The Framework Model

MEAs are commonly designed as framework conventions, in which Parties originally agree to general obligations and set an institutional structure as a basis for their future cooperation. Member States then meet periodically to further develop and progressively strengthen their commitments. Through the framework approach, the initial commitments can be deepened, as in the case of the ozone and climate regimes, where increasingly more demanding obligations to reduce substances covered are agreed. In other framework convention ‘models’, new activities and matters are added to the ones initially envisaged in the ‘mother’ convention, as in the ‘Barcelona system’ for the protection of the Mediterranean Sea, which is composed of a framework convention that is accompanied by seven protocols, each of which enlarges *ratione materiae* the scope of the treaty regime.¹⁰

The plenary organ governing a MEA is the Conference of the Parties (CoP) that convenes generally every year. Its main functions, as envisaged in the respective constitutive treaty, are to further develop and specify the obligations contained in the treaty and to monitor their implementation. Beside these explicit functions, MEAs may ‘delegate’ to their respective CoP the power to adopt the decisions that are necessary to ensure the further implementation of the treaty.¹¹

In carrying out its mandate, the CoP is assisted by a Secretariat providing administrative support and technical expertise. Secretariats of MEAs actively participate in the lawmaking activity – although often behind the scene – by setting the agenda of the various meetings and preparing informative background papers. Through these activities, Secretariats may greatly influence the discussions on certain topics and *de facto* the decisions eventually adopted.

At a lower level in the institutional structure, subsidiary organs meet periodically when the CoP is not convened and keep an ongoing dialogue. Open-ended working groups, scientific and legal bodies address relevant matters from a technical rather than a political perspective and contribute to disentangle complex issues and facilitate reaching an agreement in the plenary. In some cases, due to their specific mandate, not all Parties are represented in these bodies and individuals may serve in their personal capacities. This is the case, for instance, of certain compliance bodies recently created under MEAs to ensure – in general – the effective implementation of the treaty and –

¹⁰ Convention for the Protection of the Marine Environment and the Coastal Region of the Mediterranean (adopted 16 February 1976, as amended on 9 July 2004). The seven protocols cover various matters, including: pollution from dumping from ships and aircraft, pollution from land-based activities, pollution from activities in the continental shelf and in the seabed; pollution from transboundary movements of hazardous wastes, protection of biological diversity, and integrated coastal management in the Mediterranean (available at <http://www.unepmap.org>).

¹¹ On CoPs see R Churchill and G Ulfstein, ‘Autonomous Institutional Arrangements in Multilateral Environmental Agreements: A Little Noticed Phenomenon in International Law’ (2000) 94 *American Journal of International Law* 623. F Romanin Jacur, ‘Les Conférences des Parties des conventions internationales de protection de l’environnement en droit international général’ in S Maljéan Dubois and L Rajamani (eds), *La mise en œuvre du droit international de l’environnement/Implementation of International Environmental Law* (Martinus Nijhoff Publishers 2011), 251.

in the specific case – the return to compliance of the Party under review. The active management of non-compliance situations has brought to the development of an important body of secondary law under MEAs that further specifies and provides interpretation of treaty provisions.¹²

Describing the lawmaking by environmental treaties should consider the aggregate activity of the treaty bodies of the MEA architecture in light of the great influence these bodies have in the molding of CoP decisions.

2.1.1 The decision-making procedures

MEAs are periodically updated to respond to evolving and sometimes urgent environmental challenges and their decision-making procedures are designed – or they should be – to meet these requirements.

Acts adopted by MEAs bodies vary greatly in their content and in their legal nature: they include ‘soft law’, namely political and hortatory declarations; ‘hard’ protocols and amendments, and other ‘hybrid’ decisions regarding the treaty implementation. CoPs therefore may ‘wear many hats’, depending on the kind of lawmaking activity they perform.

For example, when negotiating and adopting protocols to the treaty, CoPs act like diplomatic conferences. The power of CoPs to adopt protocols is often expressly envisaged in the treaty.¹³ In this intergovernmental capacity, CoPs exercise only an ‘indirect’ lawmaking function, as the protocols and amendments, once adopted, require State ratification to enter into force.¹⁴ Generally this procedure requires that the amendment proposal be circulated among the Member States before the CoP meeting, to allow Parties to submit comments. The amendments are then discussed during the CoP, where all efforts are made to reach consensus on their adoption. When reaching consensus is not feasible, a qualified majority of voting States may be required.

There are, then, so called ‘adjustment procedures’, in which annexes or amendments to annexes enter into force following a simplified procedure where State ratification is not required. In these cases, the acts will enter into force and thereby become legally binding for all States, except for those that declare to opt-out within a certain time.¹⁵

¹² These bodies operate on the assumption that often States fail to respect their obligations not because of lack of will but because of lack of capacity. In this perspective, situations of non-respect are dealt with in a preventive, cooperative and supportive way. For an overview of non compliance mechanisms, see T Treves et al. (eds), *Non-Compliance Mechanisms and the Effectiveness of International Environmental Agreements* (TMC Asser Press 2009).

¹³ See, for instance, Biodiversity Convention (n 7), art 28; Basel Convention (n 6), art 15.5(d); Aarhus Convention (n 9), art 10.2 (e).

¹⁴ J Brunnée, ‘COPing with Consent: Law-Making under Multilateral Environmental Agreements’ (2002) 15 *Leiden Journal of International Law* 1, 18: ‘The COP is merely the forum in which the parties elaborate and adopt the protocol or amendment; its decisions as such do not alter the rights or obligations of the parties.’

¹⁵ International Convention for the Regulation of Whaling (adopted 2 December 1946, entered into force 10 November 1948) 161 UNTS 72 (Whaling Convention), art V.3; CITES (n 6), art XV; International Convention for the Prevention of Pollution From Ships (adopted 2 November 1973, as amended by the protocol of 1978, entered into force 2 October 1983) 1340 UNTS 184 (MARPOL), art 16.2. Similar procedures are found in international organizations operating in technical sectors, such as the Convention on International Civil Aviation (adopted

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More innovative are the procedures of certain MEAs, according to which modifications to annexes enter automatically into force – after a certain period following their adoption – for all Parties without the possibility to opt-out. The more progressive procedure of this kind is envisaged by the Montreal Protocol on the protection of the ozone layer with regard to decisions that modify the ozone depletion potential of certain substances or that reschedule their phase-out. These latter adjustments are adopted by consensus or, if consensus is not reached, by a two-thirds majority that includes developed and developing countries.¹⁶ Other MEAs envisaging automatic entry into force of adjustments, upon adoption by consensus, are the POP and PIC Conventions and certain protocols to the Convention on long-range transboundary air pollution.¹⁷

The reasons that justify these simplified procedures lie in the need to update quickly the parts of the treaties that are of a technical and scientific character. On this assumption, priority is given to accelerate the procedure with a lower consideration of State consent, as traditionally conceived.¹⁸ While the presumption is that changes are regarding minor and non-contentious matters, it should not be underestimated that ‘the devil is in the details’ and that modifications of annexes may involve sensitive matters.¹⁹ Practice under CITES, for instance, shows that the listing or de-listing of species in different annexes may touch sensitive interests.²⁰

7 December 1944, entered into force 4 April 1947) 15 UNTS 295 (Chicago Convention)), art 37(c), 54 and 90(a); Constitution of the World Health Organization (adopted 22 July 1946, entered into force 7 April 1948) 14 UNTS 185 (WHO Constitution), art 21 and 22; Constitution of the International Telecommunication Union (adopted 22 December 1992, entered into force 1 July 1994) 1825 UNTS 331, art 43.3; Constitution of the Universal Postal Union (adopted 10 July 1964, entered into force 1 January 1966) 611 UNTS 7, art 38.

¹⁶ Montreal Protocol (n 6), art 2.9. See J Lammers, ‘The Mechanism of Decision-Making under the Vienna Convention and the Montreal Protocol for the Protection of the Ozone Layer’ in GPH Kreijen ao (eds), *State, Sovereignty, and International Governance* (OUP 2002), 407.

¹⁷ See art 22.5 of the PIC and POP Conventions (n 8) respectively; Protocol to the 1979 Convention on Long-Range Transboundary Air Pollution on Further Reduction of Sulphur Emissions (adopted 14 June 1994, entered into force 5 August 1998) 2030 UNTS 122, art 11.6; Protocol to the 1979 Convention on Long-range Transboundary Air Pollution to Abate Acidification, Eutrophication and Ground-level Ozone (adopted 30 November 1999, entered into force 17 May 2005) 2319 UNTS 81, art 13.6.

¹⁸ G Ulfstein, ‘Reweaving the Fabric of International Law? Patterns of Consent in Environmental Framework Agreements’ in R Wolfrum and R Röben (eds), *Developments of International Law in Treaty-Making* (Springer 2005), 145, 146: ‘[...] although the formal right to make a notification about non-acceptance is retained, there may be a considerable political pressure not to make such a notification. By requiring an activity from states in order not to become committed rather than to become committed, the effectiveness of law-making is greatly enhanced’.

¹⁹ AC Kiss, JP Beurier, *Droit International* (Pedone 2004), 52: ‘On peut donc véritablement parler d’une procédure de modification des traités à deux vitesses: la petite vitesse pour les clauses générales des traités, une plus grande pour les dispositions déterminant des normes “techniques” qui, par ailleurs, peuvent contenir des éléments essentiels des traités’.

²⁰ It took more than ten years to include the Big Leaf Mahogany in CITES (n 6), Appendix II regime and thereby upgrade its conservation (see the discussions during the CoP 12, and in particular Proposal no 50, available at <http://www.cites.org/eng/prog/mwg.php>). Similar issues

While these acts can still be linked, although narrowly or indirectly, to State consent, another crucial regulatory activity of CoPs can hardly be categorized according to traditional tools: the adoption of decisions that are directly effective for their addressees, without the need for further acceptance by States.

This category includes acts necessary to ensure the effective implementation of the treaty, which may specify general obligations and interpret vague treaty provisions. These acts may also create subsidiary bodies and envisage their functioning, conclude agreements with States hosting treaty bodies, and legal arrangements with international organizations or other entities, such as the United Nations or the World Bank. Moreover, certain CoPs, being the bodies of last resort in non-compliance matters, may adopt decisions that sanction non-complying Parties.

2.1.2 The legal nature of CoPs' decisions

The legal nature of these wide-ranging regulatory tools is rather controversial for several reasons.

First, as a preliminary procedural remark, the rules governing the adoption of these decisions are generally found in the Rules of Procedure adopted by the CoP itself – ie a secondary treaty-derived source – and not in the treaty.

Moving to the substantive aspects, their scope and mandate are found in general or specific 'enabling clauses', whose meaning is not always straightforward.

Indeed enabling clauses are often termed with generic wording and leave broad discretion to CoP:

'The Conference of the Parties [...] shall keep under regular review the implementation of this Protocol and shall make, within its mandate, the decisions necessary to promote its effective implementation. [...] and shall: [...] (j) Exercise such other functions as may be required for the implementation of this Protocol'.²¹

Similar clauses grant to the CoP the necessary powers to react effectively to unforeseen circumstances, in addition to the ones expressly recognized by the treaty.

Enabling clauses may delegate to the CoP the adoption of specific decisions on predetermined matters as in the case of art. 15.7 of the Basel Convention stating that:

'The Conference of the Parties shall undertake [...] an evaluation of its effectiveness and, if deemed necessary, consider the adoption of a complete or partial ban of transboundary

occurred under the Whaling Convention (n 15) with regard to certain whales species considered endangered by protectionist States, while other States, traditionally relying on whaling, saw the matter differently.

²¹ Kyoto Protocol to the UNFCCC (n 7) (adopted 11 December 1997, entered into force 16 February 2005) 2303 UNTS 148 (Kyoto Protocol), art 13.4 (j). Similar provisions are: Vienna Convention for the Protection of the Ozone Layer (adopted 22 March 1985, entered into force 22 September 1988) 1513 UNTS 293, art 6.4(k); Montreal Protocol (n 6), art 11.4(j); UNFCCC (n 7), art 7.2(m); Whaling Convention (n 15), art VI; Convention on Wetlands of International Importance Especially as Waterfowl Habitat (n 6), art 6.2(f); CITES (n 6), art XI.3(e); Biodiversity Convention (n 7), art 23(i); UNCCD (n 7), art 22(j); PIC Convention (n 8), art 18(c); POP Convention (n 8), art 19(d); Basel Convention (n 6), art 15(c); Espoo Convention (n 9), art 11(e); Aarhus Convention (n 9), art 10, (g).

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movements of hazardous wastes and other wastes in light of the latest scientific, environmental, technical and economic information'.²²

On the basis of this provision, the CoP prohibited the transport of hazardous wastes from OECD countries to developing ones.²³ While the CoP decision was adopted by consensus of all Parties, some Parties later questioned the legally binding force of this act, claiming that CoP decisions cannot have such a character. To end this *querelle*, the next CoP adopted a formal amendment to the Convention, which literally restated the contentious decision. The amendment has not yet entered into force.²⁴

In view of the minor space left to interpretation of this treaty provision, a specific obligation – even though conditional – could be considered as already present in the treaty text. On this assumption, the Basel CoP would be acting within its mandate when adopting the Ban, as it does nothing more than implement a treaty provision. Furthermore, in this specific case, considering the substantive character of the measure at stake, namely a ban, it would be counterintuitive to envisage that the establishment of a ban is not mandatory. The deadlock of the Basel Ban is often cited as a telling example of the dynamics of CoP decision-making, as it shows its shortcomings and highlights the tradeoffs to consider between legitimacy and effectiveness.

The legal basis of certain MEAs bodies' decisions may also be deduced from the theory of implied powers, which maintains that States, when creating an international organization, are deemed to have transferred to the new entity the necessary powers to ensure that the latter can effectively carry out its mandate.²⁵ This lawmaking technique is broadly used in the implementation of MEAs. In the climate change regime, for instance, the CoP is responsible for major developments in the treaty implementation and its decisions are the main normative instrument used to further specify treaty provisions, to establish compliance bodies and the so called 'flexibility mechanisms' to facilitate the achievement of greenhouse gases emission reductions.²⁶

²² Basel Convention (n 6), art. 15.7.

²³ Report of the Second Meeting of the CoP to the Basel Convention (25 March 1994) UNEP/CHW.2/30 Decision II/12, 19.

²⁴ Report of Ninth Meeting of the CoP to the Basel Convention (27 June 2008) UNEP/CHW.9/39, President Statement, 51.

²⁵ This theory has been endorsed by the International Court of Justice (ICJ) in the advisory opinion on *Reparation for injuries suffered in the Service of the United Nations* (Advisory opinion) [1949] ICJ Rep 174, 179. On the theory of implied powers, see CF Amerasinghe, *Principles of Institutional Law of International Organizations* (CUP 2004), 46; N Blokker, 'Beyond "Dili"': On the Powers and Practice of International Organizations' in Kreijen ao (eds) (n 16), 299. More broadly on implied powers and MEAs, see F Romanin Jacur, *The Dynamics of Multilateral Environmental Agreements. Institutional Architectures and Law-making Processes* (Editoriale Scientifica 2013), 98.

²⁶ Report of the CoP serving as the meeting of the Parties to the Kyoto Protocol on its first session (30 March 2006), see Decision 2/CMP.1 'Principles, nature and scope of the mechanisms pursuant to Articles 6, 12 and 17 of the Kyoto Protocol' and Decision 27/CMP.1 'Procedures and mechanisms relating to compliance under the Kyoto Protocol'.

2.1.3 Legitimacy concerns: Loosening or losing state consent?

The large recourse to these decisions coupled with uncertainties on their legal nature and the fact that CoPs may – and indeed often do – expand their competences through these acts, has raised criticisms and concerns with regard to their legitimacy. In fact, the loosening of the formalistic State-centric decision-making model based on consent has resulted in concerns by States worried at being bound without or even against their will.²⁷

Beside concerns on the legitimacy of CoP decisions, other criticisms are manifested with regard to the further delegation of decision-making to their subsidiary bodies. This other layer of rules, which is becoming increasingly technical and informal in an effort to keep the pace with the urgency of environmental problems, often results in specific decisions that have substantial effects also on non-state actors, such as individuals and private companies. This multi-level system of governance has attracted criticism because of weaknesses in terms of accountability and due process guarantees. These actors, in fact, still have a very limited role in these international decision-making processes and often do not have any means of defending themselves from adverse effects deriving from these acts.²⁸

The framework-protocol approach originally favoured for its flexibility and evolving character is showing notable shortcomings, such as lengthy negotiations, inability to agree to new commitments and consequent lack of effective outcomes. In this scenario, CoP decisions may be used to anticipate future commitments that States are not yet ready to include in a formal legally binding instrument.

Current negotiations under the climate change regime are emblematic in showing a situation of impasse where obligations are watered-down in the effort of keeping the negotiating process alive. Here a blurred terminology referring to an ‘agreed outcome with legal force’ is used to describe one of the options for the ‘successor’ to the Kyoto Protocol.²⁹ This solution hides a delicate political balance among the different constituencies and may refer to a CoP decision. In this case, the uncertain legal nature of CoP decisions could turn in favour of finding an acceptable solution at the political level, because of the indeterminate legal nature of these acts.

A new trend of informal norms and flexible lawmaking seems here to arise. It is dubious whether such a trend should be welcomed and encouraged because it allows the stalling of complex negotiations to be overcome, or whether States should refrain from adopting acts of an unclear legal nature that might only postpone the solution of delicate matters or, even worse, only apparently manifest an agreement that might then turn out not to be trusted.

Moreover, the vague wording of MEAs provisions and of certain CoP decisions, while allowing to reach consensus, shift to the future and delegate the task of the further specification of the content of the obligations to other subjects. Therefore, responsibility to regulate a certain matter is mandated either to a future CoP, to its

²⁷ T Treves, ‘International Law: Achievements and Challenges’ (2006) X Cursos Euro-mediterráneos Bancaja de derecho internacional (CEBDI), 116.

²⁸ Romanin Jacur (n 25), 202.

²⁹ Report of the Seventeenth Meeting of the CoP (15 March 2012) Decision 1/CP.17, para 2.

subsidiary bodies or to judicial bodies that end up having a significant role as 'law-makers'.

2.2 The Development and Strengthening of Environmental Principles

Principles of international environmental law, initially declared in soft law texts adopted by diplomatic conferences and global summits,³⁰ may later 'harden' into custom when repeatedly endorsed in the treaties' preambles and in their operative provisions.³¹

A telling example of how MEAs contribute to strengthening these principles is provided by the evolution of the principle of common but differentiated responsibilities (CBDR principle). This principle, as recognized by Principle 7 of the Rio Declaration, states that:

In view of the different contributions to global environmental degradation, States have common but differentiated responsibilities. The developed countries acknowledge the responsibility that they bear in the international pursuit of sustainable development in view of the pressures their societies place on the global environment and of the technologies and financial resources they command.

The ozone and climate change regimes reaffirm and are greatly influenced by the CBDR principle. They both translate it into their implementation apparatus by differentiating the treatment and the obligations between developed and developing Parties.³² In the ozone regime, by virtue of the CBDR principle, developing Parties are required to reduce ozone-depleting substances later than the industrialized Parties.³³ The climate regime goes even further, by placing the burden of quantified greenhouse gases emission reductions only on industrialized States.³⁴ In addition to the differentiation of the core obligations, these treaties provide that developing Parties receive financial and technological assistance to support the implementation of their commitments. In some cases, far-reaching provisions expressly envisage that compliance of developing countries is conditional to the transfer of adequate financial and technical assistance by industrialized States.³⁵

Under certain MEAs, differential treatment is further enhanced by its endorsement in the management of compliance matters. Indeed, some compliance mechanisms take

³⁰ The UN Conference on the Human Environment in Stockholm (1972), the UN Conference on Environment and Development in Rio de Janeiro (1992), the World Summit on Sustainable Development in Johannesburg (2002) and the UN Conference on Sustainable Development (UNCSD), also known as Rio+20 in Rio de Janeiro (2012).

³¹ P Sands and J Peel, with A Fabra and R MacKenzie, *Principles of International Environmental Law*, (3th edn, CUP 2012), 34.

³² L Rajamani, *Differential Treatment in International Environmental Law* (OUP 2006).

³³ Montreal Protocol (n 6), art 5, art 10A.

³⁴ Kyoto Protocol (n 21), art 3.

³⁵ Montreal Protocol (n 6), art 5.5; Convention on Biological Diversity (n 7), art 20.4; UNFCCC (n 7), art 4.7; POP Convention (n 8), art 13.4; F Romanin Jacur, 'Controlling and Assisting Compliance: Financial Aspects' in T Treves (ed), *Non-Compliance Mechanisms* (n 12), 419.

into account the special situations of developing countries in many procedural and substantive ways. The Kyoto Protocol Facilitative Branch, for instance, handles non-compliance of developing countries with a 'softer' approach, compared to the more severe treatment accorded to industrialized countries by the Enforcement Branch.³⁶ In this vein, proposals for post-Kyoto arrangements envisage that monitoring, reporting and verification of obligations will take place at the international level for industrialized countries, while for developing ones controls will be at the national level.

Another noteworthy case is the relevance gained in the field of marine pollution by the polluter-pays principle, early recognized by Principle 16 of the Rio Declaration, which is at the basis of modern liability and compensation schemes for oil pollution at sea. According to the relevant International Maritime Organization (IMO) conventions, ship owners are strictly liable, independent of fault, for damages caused by accidents involving their oil tankers.³⁷

Far less precise are the contours of the precautionary principle, whose implications are still controversial, although since the 1980s soft law and many MEAs make reference to it.³⁸ By virtue of this principle, action shall not be postponed in case of scientific uncertainty, when there is an environmental risk.

3. JUDICIAL LAWMAKING IN THE SETTLEMENT OF ENVIRONMENTAL DISPUTES

Although formally international judicial bodies do not have lawmaking competences, by interpreting treaty provisions and applying relevant principles, they contribute to the development of international environmental law.

Environmental disputes have been recently 'blooming' on the dockets of international dispute settlement bodies, after decades where they were rare and the environmental chambers established by the ICJ and the International Tribunal for the Law of the Sea (ITLOS) were unused. Adjudicators decide whether a State is polluting a transboundary

³⁶ R Lefeber, 'The Practice of the Compliance Committee under the Kyoto Protocol to the United Nations Framework Convention on Climate Change (2006-2007)' in Treves *ao* (eds), (n 12) 303.

³⁷ See eg International Convention on Civil Liability for Oil Pollution Damage (adopted 29 November 1969, as replaced by 1992 Protocol on 27 November 1992, entered into force 30 May 1996) 1956 UNTS 255, art III(1). To ensure effective compensation for the victims, these treaties require compulsory insurance for the ship owners. *ibid*, art VII(1).

³⁸ Among many, see the Preambles of the Vienna Convention (n 21), of the Montreal Protocol (n 6), of the Biodiversity Convention (n 7); UNFCCC (n 7), art 3.3. According to the Cartagena Protocol on Biosafety (n 8) (art. 10(6) and 11(8)), Parties have the right to refuse to import living modified organisms for precautionary reasons.

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river (as in the *Pulp Mills* case)³⁹ or is unduly changing its course (as in the *Indus Arbitration*)⁴⁰ or is over-exploiting endangered or protected species, like whales or tunas.⁴¹

Further, national regulatory measures to protect the environment may negatively impact foreign investors or another State's trade prerogatives and be challenged in front of investment tribunals or of the WTO dispute settlement system.⁴²

3.1 The Judicial Development of Environmental Law

An early jurisprudential contribution to legal developments in environmental matters can be traced back to the recognition by the Trail Smelter Arbitral Tribunal of the fundamental principle that States have the responsibility to make sure that their territory is not used in ways that cause environmental harm to another State.⁴³ This principle, as later recognized by the ICJ, is now part of customary international law.⁴⁴

Although approaching environmental concepts with considerable caution, the ICJ has contributed, through advisory opinions, judgments and significantly through dissenting opinions of its judges to develop environmental law.⁴⁵

In the advisory opinion on the *Legality of the Threat or Use of Nuclear Weapons*, the Court recognized that 'the environment is not an abstraction, but represents the living space, the quality of life and very health of human beings, including generation unborn'.⁴⁶ This definition links the environment to human beings and their health and

³⁹ *Pulp Mills on the River Uruguay (Argentina v Uruguay)* [2010] ICJ Rep 14.

⁴⁰ *Indus Waters Kishenganga Arbitration (Pakistan v India)* 38 Order on Interim Measures 2011 available at http://www.pca-cpa.org/showfile.asp?fil_id=1726.

⁴¹ *Aerial herbicide spraying (Ecuador v Colombia)* (removed from docket) ICJ Press Release 2013/20 available at <<http://www.icj-cij.org/docket/files/138/17526.pdf>>, *Whaling in the Antarctic (Australia v Japan)* (Judgment) 2014 available at <<http://www.icj-cij.org/docket/files/148/18136.pdf>>, and *Construction of a road in Costa Rica along the San Juan River (Nicaragua v Costa Rica)*, *Proceedings joined with Certain Activities carried out by Nicaragua in the Border Area (Costa Rica v. Nicaragua)* on 17 April 2013 (Pending). Furthermore, a case concerning the establishment of a marine-protected area has been brought to arbitration according to UNCLOS Annex VII (*Mauritius v The United Kingdom of Great Britain and Northern Ireland*).

⁴² See below, section III.

⁴³ *Trail smelter case (United States v Canada)* (16 April 1938 and 11 March 1941) 3 RIAA 1905.

⁴⁴ *Legality of the Threat or Use of Nuclear Weapons* (Advisory Opinion) [1996] ICJ Rep 226, para 29.

⁴⁵ *Fisheries jurisdiction (United Kingdom v Iceland)* (Judgment) [1973] ICJ Rep 3 and (*Germany v Iceland*) (Merits, Judgment) [1973] ICJ Rep 175; *Nuclear Tests (New Zealand v France)* (Judgment) [1974] ICJ Rep 457, *Certain Phosphate Lands in Nauru (Nauru v Australia)* (Preliminary Objections, Judgment) [1992] ICJ Rep 240; *Legality of the Treat or Use of Nuclear Weapons* (n 42) (UNGA advisory opinion) and *Legality of the Treat or Use of Nuclear Weapons* (Advisory Opinion) [1996] ICJ Rep 66 (WHO advisory opinion). Among many, consider the Dissenting Opinions of Judge Weeramantry in the *Gabcikovo-Nagymaros Case (Hungaria v Slovakia)* [1997] ICJ Rep 62 and the one of Judges Simma and Al-Khasawneh in the *Pulp Mills Case* (n 40). See T Stephens, *International Courts and Environmental Protection* (CUP 2009).

⁴⁶ *Legality of the Threat or Use of Nuclear Weapons* (n 45), para 29.

significantly refers to the intergenerational dimension of environmental protection. The principle of intergenerational equity is today a constitutive element of sustainable development. The Inter-American Court of Human Rights, for instance, has recognized the interests of future generations in a case concerning the rights of indigenous communities to their land.⁴⁷

Recently, in the *Pulp Mills* case, the ICJ recognized that the obligation to carry out an environmental impact assessment (EIA) is part of the duty to prevent environmental damage and is a requirement of general international law, when there is a risk that an activity may have a significant adverse impact in a transboundary context.⁴⁸

The *Pulp Mills* environmental *acquis* is recalled and broadened by the Seabed Dispute Chamber of ITLOS in its Advisory Opinion regarding the responsibilities of States when they sponsor activities of private entities in the deep seabed beyond national jurisdiction.⁴⁹ This opinion takes important positions on the duty of due diligence when carrying out activities with potential environmental impacts. In particular, it specifies the content of due diligence by linking it to the evolving state of scientific knowledge and to the nature of the risks involved.⁵⁰ The Chamber recognizes due diligence as an obligation of conduct and identifies actions that are part of it. These are: the adoption of a precautionary approach, the application of best environmental practices, the arrangement of emergency measures to safeguard the marine environment in case of necessity, the compensation of damages caused by pollution and the duty to undertake an EIA.⁵¹

The Chamber also clarifies the content of the precautionary principle, first, by recalling that States apply the precautionary principle according to their respective capabilities, as stated in Principle 15 of the Rio Declaration.⁵² Moreover, by virtue of the precautionary approach, the Chamber requires States to take all appropriate actions to avoid damages, in situations where ‘scientific evidence concerning the scope and potential negative impact of the activity in question is insufficient but where there are plausible indications of potential risks’.⁵³ The thresholds posed by the Chamber are more ‘environmentally friendly’, compared to other versions, which refer to ‘serious or

⁴⁷ See the *Mayagna (Sumo) Awas Tingni Community v Nicaragua* case Inter-American Court of Human Rights Series C No 79 (31 August 2001). The Court acknowledges that the land is necessary to preserve the cultural legacy of indigenous peoples to their future generations (especially para 149).

⁴⁸ *Pulp Mills case* (n 40), para 204.

⁴⁹ *Responsibilities and Obligations of States Sponsoring Persons and Entities with Respect to Activities in the Area* (Advisory Opinion) ITLOS (1 February 2011).

⁵⁰ *ibid*, para 117.

⁵¹ *ibid*, paras 123–131.

⁵² *ibid*, paras 126–129.

⁵³ *ibid*.

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irreversible damage',⁵⁴ or 'significant',⁵⁵ or 'grave and imminent peril'⁵⁶ and to the cost-effectiveness⁵⁷ of measures that should not be postponed.

Environmental litigation at the domestic level also contributes to the development of international environmental law. For example, the Indian Supreme Court has recognized that the precautionary principle is linked to sustainable development and is part of customary international law⁵⁸ and the Philippine Supreme Court endorsed the concept of intergenerational responsibility.⁵⁹

3.2 Judicial Lessons in Dealing with Environmental Matters

Besides contributing to specifying the content of legal principles, judges influence the way in which environmental matters should be handled, not only by courts but also in general by decision-makers.

A special character of environmental disputes is their scientific dimension. Even though science is neither always objective nor infallible, if adequately taken into account in the decision-making process that leads to the judgment, science will work as a legitimating factor. Otherwise, if not handled effectively, it may weaken the perceived authority of a judicial body.⁶⁰ Acknowledging from the outset the limits of science strengthens the need to rely on the process through which scientific elements enter the dispute. To form his or her opinion on non-legal and in particular on scientific matters, the judge can rely on various sources such as experts, *amici curiae*, on-site visits and, recently, satellite information.⁶¹

Another distinguishing feature of environmental disputes is that they often require preventive action to avoid damages to the environment, while other disputes may adequately be solved by an *ex post* judgment. In this perspective, provisional measures

⁵⁴ Rio Declaration, Report of the United Nations Conference on the Human Environment (5–16 June 1972), Principle 15; UNFCCC (n 7), art 3(3).

⁵⁵ Biodiversity Convention (n 7), preamble: 'threat of significant reduction or loss of biodiversity'.

⁵⁶ *Gabcikovo- Nagymaros case* (n 46), para 54.

⁵⁷ UNFCCC (n 7), art 3(3).

⁵⁸ *Vellore Citizens Welfare Forum v Union of India and Others*, Supreme Court of India, Judgment 28 August 1996, 5 SCC 647.

⁵⁹ *Oposa v Factoran case*, Supreme Court of The Philippines, Judgment, 30 July 1993, 33 ILM (1994) (GR No 101083).

⁶⁰ Judge Weeramantry wisely warned that: 'International law must keep abreast of science, or will watch helplessly from the sidelines while unrestrained technology transgresses all social controls.' CG Weeramantry, 'Achieving Sustainable Justice Through International Law' in MC Cordonnier Segger, CG Weeramantry (eds), *Sustainable Justice: Reconciling Economic, Social and Environmental Law* (Brill 2005) 15, 19.

⁶¹ F Romanin Jacur, 'Remarks on the Role of Ex Curia Scientific Experts in International Environmental Disputes' in Boschiero, Scovazzi ao (eds), *International Courts and the Development of International Law* (TMC Asser Press 2013) 437.

are a precious procedural tool that can be used to implement preventive and precautionary demands.⁶²

While the ICJ has adopted a rather conservative and prudent approach in granting provisional measures, other jurisdictions have shown a more forward-looking attitude in this regard when environmental risks were at stake. In the *Pulp Mills* case, the ICJ, considering that evidence did not show a foreseeable irreparable damage, refused to grant provisional measures and postponed to the merits the reparation of potential violations.⁶³ This approach clearly does not take into account a preventive and precautionary approach.

In a different perspective, ITLOS relying on its power to grant provisional measures not only to safeguard the interests of the Parties but also of the environment,⁶⁴ has granted provisional measures to preserve the marine environment in several cases.⁶⁵ In these cases, the Tribunal faced with the scientific uncertainty, although not expressly endorsing the precautionary principle, enjoined Parties to act 'with prudence and caution'.⁶⁶

In the *Indus Arbitration*, the Tribunal assessed carefully the impact of the dam on the flow of the river and considered whether its construction would have a significant prejudice for the final solution of the dispute. The Tribunal adopted a preventive attitude towards potential legal and factual risks deriving from the works,⁶⁷ and in the

⁶² Judge Treves in his separate opinion in the *Southern Bluefin Tuna case (No 2 & 3) (New Zealand v Japan)* (Provisional Measures, Order of 27 August 1999, Separate Opinion Treves) considered that:

The precautionary approach can be seen as a logical consequence of the need to ensure that, when the arbitral tribunal decides on the merits, the factual situation has not changed. In other words, a precautionary approach seems to me inherent in the very notion of provisional measures. (para 9)

⁶³ *Pulp Mills case* (n 40) (Request for the indication of provisional measures: Order of 13 July 2006) [2006] ICJ Rep 113, para 87.

⁶⁴ United Nations Convention on the Law of the Sea (adopted 10 December 1983, entered into force 16 November 1994) 1833 UNTS 3 (UNCLOS), art 290.1: '[t]he court or tribunal may prescribe any provisional measures which it considers appropriate under the circumstances to preserve the respective rights of the parties to the dispute or to prevent serious harm to the marine environment, pending the final decision'.

⁶⁵ ITLOS: *Southern Bluefin Tuna case (No 2 & 3) (New Zealand v Japan)* (Provisional Measures, Order of 27 August 1999), para 80; *The MOX Plant case (No 10) (Ireland v United Kingdom)* (Provisional Measures, Order of 3 December 2001), para 84; *Case Concerning Land Reclamation by Singapore in and around the Straits of Johor (No 12) (Malaysia v Singapore)* (Provisional Measures, Order of 8 October 2003), para 99.

⁶⁶ See Judge Treves recognized that ITLOS was reluctant to take a position as to whether the precautionary principle is part of customary international law, *Southern Bluefin Tuna case* (n 63), Separate Opinion of Judge Treves, para 8.

⁶⁷ *Indus Waters Kishenganga Arbitration (Pakistan v India)* 42 (Order on Interim Measures) 2011 available at <http://www.pca-cpa.org/showfile.asp?fil_id=1726>, para 142ff. See spec para 148:

The entirely unconstrained construction of the KHEP (the dam) pendente lite thus presents a risk of constricting the legal principles to which the Court may have recourse in its Award. Continued construction may also have the effect of foreclosing, delaying the implementation

interim measures it enjoins India the construction of permanent works on the riverbed 'that may inhibit the restoration of the full flow of that river to its natural channel'.⁶⁸

4. NORMATIVE DEVELOPMENTS IN ENVIRONMENTAL MATTERS THROUGH TRADE AND INVESTMENT LAW

This section selects and briefly describes relevant provisions within trade and investment treaties and legal developments brought by their dispute settlement systems that have a relevant impact on environmental matters and that contribute to the development of international environmental law.

4.1 Environmental Matters in Trade and Investment Agreements

If States adopt trade-restrictive measures to achieve environmental objectives, even though these measures violate WTO rules on non-discrimination, they can still be considered compatible with WTO law, upon meeting certain requirements. In particular, they can be justified if they are 'necessary to protect human, animal or plant life or health' or if they are related 'to the conservation of exhaustible natural resources', as these values are recognized as legitimate purposes under WTO law.⁶⁹ For instance, notwithstanding the different objectives pursued by the trade and climate change regimes, the *chapeau* of GATT article XX and article 3.5 of the Climate Convention declare with the same wording that unilateral (climate) measures should not be 'applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries or a disguised restriction on international trade'.

Similar dynamics are found under multilateral or bilateral investment treaties (BITs), according to which State Parties reciprocally recognize certain standards of treatment, such as compensation for expropriation and fair and equitable treatment, to investors of the nationality of the counterparty. The way in which environmental measures are designed and implemented plays a crucial role in assessing their compatibility with investment law. If the requirements are positively met, the measures are considered as a legitimate exercise of the state regulatory autonomy and will not give rise to the obligation to compensate.

Moving beyond the consideration of environmental reasons as legitimate exceptions to economic rules, the traditional opposition between economic and environmental regimes is narrowing down. Reciprocal influences increasingly foster integration between these regimes. Integration, for example, is found in the WTO preamble that

of, or rendering disproportionately large the cost of particular remedies that the Court may choose to order.

⁶⁸ *ibid*, para 151.

⁶⁹ General Agreement on Tariffs and Trade (adopted 30 October 1947, entered into force 1 January 1948) 55 UNTS 187 (GATT), art XX, b and g; See also the corresponding General Agreement on Trade in Services (adopted 15 April 1994, entered into force 1 January 1995) 1869 UNTS 183 (GATS), art XIV; E Vranes, *Trade and the Environment* (OUP 2009).

recognizes the objective of sustainable development and in investment treaties preambles recognizing their desire to achieve their economic objectives ‘in a manner consistent with the protection of health, safety, and the environment’.⁷⁰ Progressing in this trend, recently negotiated free trade agreements, such as the EU-Canada Economic and Trade Agreement (CETA) and the EU-USA Transatlantic Trade and Investment Partnership (TTIP), include specific chapters devoted to environment and sustainable development matters.⁷¹

A further development and a useful tool to combine economic and environmental matters is the principle of mutual supportiveness. According to this principle, treaty provisions should be drafted – in the first place – and then interpreted as reinforcing each other in a complementary, as opposed to a conflicting perspective.⁷² An example of this mutual reinforcing linkage is found in article 104 of the North American Free Trade Agreement (NAFTA) that foresees the primacy of certain environmental regimes in case of conflicts with its own provisions.⁷³

Integration and mutual support approaches should develop on a two-fold track: first, by appropriately introducing environmental concerns into treaty texts, and secondly through mutually supportive judicial interpretation.

4.2 The Consideration of Environmental Matters in WTO Jurisprudence

Once integration and mutual support are envisaged in the treaties, the judiciary task of combining environment and trade interests is easier as they can endorse environmental principles as interpretative tools, and give due consideration – or even recognize the priority – to relevant environmental treaties provisions, including their procedural and institutional mechanisms.⁷⁴

A mutually supportive attitude is shown by the decisions of the Appellate Body of the WTO in various cases. In the *US – Shrimp* dispute, the Appellate Body interpreted

⁷⁰ See, for instance, the US model BIT.

⁷¹ For the Consolidated CETA text, see http://trade.ec.europa.eu/doclib/docs/2014/september/tradoc_152806.pdf; for the TTIP, see <http://ec.europa.eu/trade/policy/in-focus/ttip>.

⁷² R Pavoni, ‘Mutual Supportiveness as a Principle of Interpretation and Law-Making: A Watershed for the “WTO-and-Competing-Regimes” Debate?’ (2010) 21 *European Journal of International Law* 649.

⁷³ North American Free Trade Agreement (adopted 17 December 1992, entered into force 1 January 1994) (1993) 32 ILM 289 (NAFTA), art 104: Relation to Environmental and Conservation Agreements:

1. In the event of any inconsistency between this Agreement and the specific trade obligations set out in (a) [CITES (n 6)]; (b) the Montreal Protocol (...); (c) the Basel Convention (...); or (d) the agreements set out in Annex 104.1, such obligations shall prevail to the extent of the inconsistency, provided that where a Party has a choice among equally effective and reasonably available means of complying with such obligations, the Party chooses the alternative that is the least inconsistent with the other provisions of this Agreement.

⁷⁴ M Potestà, ‘From mutual supportiveness to mutual enforcement? The contribution of US Preferential Trade and Investment Agreements to the effectiveness of environmental norms’ in R Hofmann ao (eds), *Preferential Trade and Investment Agreements: A New Ordering Paradigm for International Investment Relations?* (Nomos 2013).

broadly the concept of 'exhaustible natural resources' in article XX, let.g, to include also renewable resources.⁷⁵ The Appellate Body reasoning takes into account contemporary concerns and largely refers to environmental agreements to support its statements: mention is made to UNCLOS, the Convention on Migratory Species⁷⁶ and the Biodiversity Convention. Furthermore, reference is made to CITES as the appropriate legal instrument that certifies when a certain species is in danger of extinction.⁷⁷ Going even further, the Appellate Body states that 'the record also does not show that the appellant, the United States, attempted to have recourse to such international mechanisms as exist to achieve cooperative efforts to protect and conserve sea turtles before imposing the import ban'.⁷⁸ In so doing, it recognizes a sort of prior recourse to negotiations in the framework of relevant environmental fora, namely CITES, for the sound management of environmental matters.

Mixed blessings arise with regard to a more recent ruling relating to an allegedly discriminatory US technical regulation establishing a 'dolphin safe' labeling scheme for tuna harvested in the East Tropical Pacific (ETP) area of the Pacific Ocean. Mexico claimed that this scheme is discriminatory, because tuna catches outside the ETP are eligible for the 'dolphin safe' certification even though carried out without protections for dolphins. The Appellate Body noted that, while the US measure fully addressed the adverse effects on dolphins in that area of the Pacific Ocean, it did not address mortality arising from other fishing methods in other areas. Consequently, the measure was found to be not 'even-handed': in order to comply with WTO requirements, the regulatory scheme should have covered all the areas of the ocean.⁷⁹

This decision has been criticized as favouring trade rather than environmental considerations because it condemns 'environmentally friendly' regulations. However, the Appellate Body recognized the legitimate environmental objective pursued and condemned these measures mainly on the basis of their unilateral nature and non-comprehensive scope. Seen in this perspective, such a decision, although penalizing for environmental protection in the short term, shows in the long term a mutual support approach between trade and environmental agreements, in that it encourages the negotiation of multilateral solutions to environmental matters.

⁷⁵ WTO, *United States: Import Prohibition of Certain Shrimp and Shrimp Products – Report of the Appellate Body* (12 October 1998) WT/DS58/R, para 50 (*US – Shrimps* case). The Appellate Body recognizes that: 'The exhaustibility of sea turtles would in fact have been very difficult to controvert since all of the seven recognized species of sea turtles are today listed in Appendix 1 of (...) CITES.'

⁷⁶ Convention on the Conservation of Migratory Species of Wild Animals (23 June 1979, entered into force 1 June 1982) 19 ILM 15 (1980).

⁷⁷ *US – Shrimps* case (n 72), para 132.

⁷⁸ *ibid.*, para 171.

⁷⁹ WTO, *United States: Measures concerning the importation, marketing and sale of tuna and tuna products* (16 May 2012) WT/DS381/AB/R, para 297 (*US – Tuna II* case).

4.3 The Consideration of Environmental Matters by Arbitral Tribunals

Several arbitral decisions deal with the legitimacy of environmental measures challenged by the investor for allegedly constituting indirect expropriation or for violating the fair and equitable treatment obligation.⁸⁰

Investor-State arbitrations are indeed a venue where sensitive environmental matters may end up being decided.⁸¹ In this regard, these arbitral decisions influence the future behaviour of investors and States and may have a 'regulatory chill', because States may lower their environmental standards for fear of losing their foreign investment 'appeal'.⁸²

In a legal perspective, although there is no *stare decisis* linking arbitral tribunals in strict legal terms, awards may influence future normative developments in investment law by strengthening the recognition of environmental matters, on one side, and future environmental legal developments with regard to investment-related matters, on the other.

The *S.D. Myers v Canada* case is an illustrative example of the interaction between investment and environmental regimes and of the role that adjudicating bodies have in combining their respective provisions. In this dispute, an American corporation S.D. Myers operating in Canada in the treatment of hazardous waste, namely polychlorinated biphenyl (PCB), claimed that the ban on PCB exports adopted by the government of Canada was in breach of Canada's obligations arising from the NAFTA treaty.

Canada heavily relied on environmental justifications and on its participation to the Basel Convention to justify the adoption of the ban.⁸³ While the Tribunal ultimately found that the ban was illegitimate, because the environmental objective could have been achieved by other less trade-restrictive means, consideration is given to the Basel Convention's provisions and the Tribunal recalls that MEAs, to which both disputing States are Parties (which was not the case in the present dispute), should prevail on NAFTA provisions in case of inconsistencies. The primacy of MEAs on the investment treaty provisions, however, is not unconstrained, but by virtue of the mutual support principle recalled by the Tribunal, the environmental objective shall be achieved through the measure, which is least inconsistent with NAFTA.⁸⁴

⁸⁰ See *SD Myers, Inc v Canada*, NAFTA Arbitration (Partial Award) 13 November 2000; *Chemtura Corporation v Canada*, NAFTA Arbitration (Award) 2 August 2010; *Glamis Gold Ltd v United States* ICSID (Award) [2009] 48 ILM 1035; *Vattenfall AB, Vattenfall Europe AG, Vattenfall Europe Generation AG & Co KG v Federal Republic of Germany* (Request for Arbitration) [2009] ICSID Case ARB/09/6.

⁸¹ Disputes can be referred by the investor to a number of fora, such as the International Centre for the Settlement of Investment Disputes (ICSID) or the PCA, according to the arbitration rules of the United Nations Commission on International Trade Law (UNCITRAL) arbitration rules.

⁸² K Tienhaara, *The expropriation of environmental governance: protecting foreign investors at the expense of public policy* (CUP 2009), 80.

⁸³ NAFTA (n 74): *SD Myers, Inc v Canada* (n 81), para 182.

⁸⁴ *ibid*, para 215.

5. NON-STATE ACTORS' PARTICIPATION IN INTERNATIONAL ENVIRONMENTAL LAWMAKING: NGOS, PRIVATE PERSONS AND STANDARD SETTING ASSOCIATIONS

While lawmaking is still predominantly a State prerogative, non-State actors are key players in bottom-up initiatives that complement and supplement the traditional top-down State-derived lawmaking.⁸⁵

Non-State actors cover a wide range of entities, from NGOs to multinational corporations, to hybrid public-private partnerships, to private standard-setting institutions. Without entering the discussions on whether these actors can be considered as subjects of the international legal order, this section briefly illustrates their contribution to environmental legal developments.

NGOs may take part as *amici curiae* in dispute settlement proceedings and submit briefs.⁸⁶ Furthermore, NGOs and individuals may trigger non-compliance procedures where they have *locus standi*⁸⁷ and may represent indigenous communities acting as plaintiffs in front of human rights bodies.⁸⁸

Beyond the judicial and quasi-judicial context, NGOs participate as observers in the decision-making processes of MEAs. Moreover, recently MEAs are involving private investors, such as industries, banks, insurance, financial and consulting companies, as partners to achieve their environmental goals. These actors participate in public-private partnerships linked to MEAs' financial mechanisms and to the World Bank. In the governance structures of these hybrid schemes there is a broad participation of civil society, including NGOs, representatives of the private sector and of indigenous peoples. These observers suggest agenda items, actively contribute to shape the discussion and ultimately influence the decision-making process and its outcome.⁸⁹

⁸⁵ A Boyle and C Chinkin, *The Making of International Law*, (OUP 2007), vii: 'Lawmaking is no longer the exclusive preserve of states.'

⁸⁶ *Mayagna (Sumo) case* (n 45); *Aguas Argentinas, SA, Suez, Sociedad General de Aguas de Barcelona, SA and Vivendi Universal, SA v Argentine Republic* ICSID Case ARB/03/19; *Biwater Gauff (Tanzania) Ltd v United Republic of Tanzania* ICSID Case ARB/05/22.

⁸⁷ See the Compliance Mechanism established under the Aarhus Convention (n 9) (Decision I/7 on Review of Compliance, (23 October 2002), ECE/MP.PP/2/Add.8, art 15) and the extensive practice of individuals and NGOs bringing cases to the Committee. C Pitea, 'The Non-compliance Procedure of the Aarhus Convention: between Environmental and Human Rights Control Mechanisms' in D Shelton (ed), *Human Rights and the Environment* (Edward Elgar 2011) 532.

⁸⁸ In the Inter-American Commission on Human Rights, *Community of San Mateo De Huanchor and Its Members v Peru*, Admissibility, Petition 504/03 Report N 69/04 IACHR (15 October 2004); Friendly Settlement: *Mercedes Julia Huenteao Beroiza et al v Chile*, Petition 4617/02, Report N 30/04, IACHR (11 March 2004).

⁸⁹ F Romanin Jacur, 'Are Multilateral Environmental Agreements Promoting Private Investment in Sustainable Development?' chapter 11 in T Treves ao (eds), *Foreign Investment, International Law and Common Concerns*, (Routledge 2014).

Other normative tools that influence environmental law are the voluntary ‘codes of conduct’ created by industry groups and multinational enterprises and applicable to their own operations and, in certain cases, to their suppliers and borrowers.⁹⁰

Another category of regulatory tools that is gaining a growing influence in environmental matters is the one of international standards.⁹¹

A standard may be defined as a ‘document, established by consensus and approved by a recognized body that provides [...] rules, guidelines or characteristics for activities or their results, aimed at the achievement of the optimum degree of order in a given context’.⁹² Standards are regulatory tools generally with a technical or scientific basis. Their science-based origin is a distinctive feature that differentiates them from other legal rules and provides them with a special legitimacy.

Their success may be traced back to their flexibility, which allows them to be revised easily to take into account changing circumstances, and to their voluntary nature, which contributes to broadening their acceptability by private and public entities. While these requirements are not *strictu sensu* legally binding, being issued by technical bodies, they are broadly endorsed and have a *de facto* significant ‘persuasive power’ on the various addressees.⁹³

Standards cannot be considered among the traditional sources of international law and neither do they easily fit in the differentiation between soft and hard law. In fact, they may be produced by different bodies and may be voluntary or mandatory depending on where they are incorporated.⁹⁴

⁹⁰ See for example the OECD Guidelines for Multinational Enterprises.

⁹¹ J Morrison and N Roht-Arriaza, ‘Private and Quasi-Private Standard Setting’ in D Bodansky ao (eds), *Oxford Handbook of International Environmental Law* (OUP 2007) 498, 501:

Many of these private, market-driven systems that predominate the field today stem from a general dissatisfaction with government-led ‘command and control’ regulatory approaches as well as the failure of intergovernmental processes [...] to result in meaningful action to advance sustainable commercial practices.

⁹² International Standardization Organization (ISO)/IEC Guide 2:2004 – Standardization and related activities – General Vocabulary.

⁹³ A von Bogdandy, P Dann and M Goldmann, ‘Developing the Publicness of Public International Law: Towards a Legal Framework for Global Governance Activities’ in A von Bogdandy ao (eds), *The Exercise of Public Authority by International Institutions*, Beiträge zum ausländischen öffentlichen Recht und Völkerrecht, (Springer 2010) 3, 12. Standards are respected not necessarily because of a legal obligation towards other States but rather ‘because the benefits of observing them outweighs the disadvantages of ignoring them [...] or because they are equipped with implementing mechanisms imposing positive and negative sanctions’.

⁹⁴ Particularly relevant in environmental matters are the International Standardization Organization (ISO) standards and certification programs adopted by the Forest Stewardship Council (FSC) and the Marine Stewardship Council (MSC).

Furthermore, their success and effectiveness may be strengthened through their endorsement by treaties and by international tribunals.⁹⁵ In fact, through their incorporation into legally binding rules, standards may become mandatory.⁹⁶ The WTO Agreements on the Application of Sanitary and Phytosanitary Measures (SPS Agreement) and on Technical Barriers to Trade (TBT Agreement) provide that technical regulations meeting certain requirements are presumed in conformity with WTO law.⁹⁷ Substantive requirements are, for example, the pursuit of a legitimate objective and the right to participate for all WTO member States in the standard-setting body. Moreover in order to satisfy the procedural requirements, rulemaking systems should operate in a transparent and open manner, and provide for reasoned decisions.⁹⁸ Despite these express conditions set by WTO law, there are concerns and criticisms regarding the lack of adequate legitimacy of these standards due to the fact that they are allegedly elaborated in *fora* where not all States and other relevant stakeholder participate effectively on an equal standing. More specifically, major claims are that developing countries and certain categories of private actors with weaker representative powers do not participate adequately in the process. The advantages of enjoying the presumption of conformity with WTO law represents a strong compliance pull for standard setting organizations that eventually comply with them.

6. CONCLUDING REMARKS

Environmental problems are increasingly interdependent with economic and social considerations and can be seen under the unifying notion of sustainable development.

MEAs, trade and investment regimes, and voluntary private actors' rulemaking deal with these common challenges according to a functional approach, each respectively from their own perspective. Although following different paths, they are all steadily moving towards the enhancement of sustainable development goals. While there are

⁹⁵ *US – Tuna II case* (n 80), para 387. The issue was whether the tuna tracking and dolphin-safe certification resolutions of the International Dolphin Conservation Program could be considered as international standards.

⁹⁶ This technique of legislation by reference has been defined 'soft incorporation' because States are not obliged to adopt the international standards however, if they do not, they have to explain why these standards were inappropriate for the objectives pursued. See J Pauwelyn, *Conflict of Norms in Public International Law: How WTO Law Relates to Other Rules of International Law* (CUP 2003), 350.

⁹⁷ Agreement on Technical Barriers to Trade (adopted 15 April 1994, entered into force 1 January 1995) 1868 UNTS 120 (TBT) and Agreement on the Application of Sanitary and Phytosanitary Measures (adopted 15 April 1994, entered into force 1 January 1995) 1867 UNTS 493 (SPS), art 3.2:

Sanitary and phyto-sanitary measures which conform to international standards, guidelines or recommendations shall be deemed to be necessary to protect human health, animal or plant life or health, and presumed to be consistent with the relevant provisions of this Agreement and of GATT 1994.

⁹⁸ TBT Committee, Decision of the Committee on Principles for the Development of International Standards (13 November 2000) G/TBT/9, 6.

sensible influences across these regimes, a satisfactory integrated approach and an adequate support among their normative developments and implementation mechanisms are still lacking.

The lack of adequate dialogue and coherence across these different fields of international law leads to inconsistent assessments and creates dangerous normative and institutional loopholes. Far from being a merely theoretical problem, in this legal vacuum, disastrous environmental-related accidents occur that could have been prevented – or at least better managed – if existing international law tools would have been implemented more effectively.⁹⁹

The complex dimensions of international environmental law therefore require a more thorough, comprehensive and integrated approach, which on the substantive level takes adequately into account all the relevant aspects involved.

Along with the substantive dimension, procedural tools should also be strengthened to ensure that decision-makers are provided with appropriate support in forming their beliefs and that relevant stakeholders' interests are adequately represented and taken into account. In a 'virtuous circle', a constructive and complementary dialogue between the various regimes, and in particular between MEAs compliance mechanisms and other dispute settlement procedures should be encouraged.

Many of these elements are already present to a certain extent in today's environmental lawmaking, however, they need to be further developed to strengthen the legitimacy and effectiveness of international environmental law.

⁹⁹ One may think of the shipment and illegal dumping of toxic wastes in the Ivory Coast, in violation of international law (namely, the Basel and Bamako Convention) and European regulations. Another grave environmental disaster, with oil spills polluting lands and disrupting the livelihoods of Ecuadorian indigenous people, is at the heart of the Chevron-Ecuador legal 'saga': a complex series of disputes involving States, multinational corporations, indigenous peoples, and multiple legal orders – domestic laws, MEAs, investment and human rights treaties.